

RUBIES Business Valuation Report

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Executive Summary

- RUBIES is a DTC gender-affirming underwear brand generating ~\$898K CAD (2025), growing 28% YoY
- Strong fundamentals: 72.6% gross margin, 16.6% net margin (ex-one-time basis)
- Current valuation range: \$700K — \$1.2M CAD (2.5-3.5x SDE)
- Projected end-of-2026 valuation: \$1.4M — \$2.0M CAD with AI automation + revenue growth to \$1.2M+**
- Key value driver: AI-powered operations reduce owner involvement to 12-15 hrs/week, making the business near semi-passive

Current Financial Snapshot (2025, Ex-One-Time)

Metric	2024	2025	YoY Change
Revenue	\$702,151	\$897,515	+27.8%
Gross Profit	\$484,216	\$651,211	+34.5%
Gross Margin	69.0%	72.6%	+3.6 pts
Net Profit	\$40,933	\$149,200	+264%
Net Margin	5.8%	16.6%	+10.8 pts

Seller's Discretionary Earnings (SDE)

Component	Current (2025)	Projected (2026)
Net Profit (ex-one-time)	\$149,200	\$180,000
Owner Salary	\$150,000	\$150,000
Home Office	\$4,654	\$5,000
Vehicle	\$4,260	\$4,500
SDE	\$308,114	\$339,500

Valuation Scenarios

Scenario 1: Sell Today (as-is)

	Multiple	Valuation (CAD)
Conservative	2.0x SDE	\$616,000
Mid-range	3.0x SDE	\$924,000
Optimistic	3.5x SDE	\$1,078,000
Most Likely Range	2.5-3.0x	\$770K — \$924K

Assumptions: Owner works ~20 hrs/week, business still somewhat owner-dependent, sub-\$1M revenue, niche market.

Scenario 2: End of 2026 — AI Automation Complete, 12-15 hrs/week

	Multiple	Valuation (CAD)
Conservative	3.5x SDE	\$1,188,000
Mid-range	4.5x SDE	\$1,528,000
Optimistic (strategic buyer)	5.0x SDE	\$1,698,000
Most Likely Range	4.0-4.5x	\$1.36M — \$1.53M

Assumptions: Revenue \$1.2M+, AI CS advisor handles exchanges/sizing end-to-end, financial analysis automated, daily syncs unattended, owner at 12-15 hrs/week.

Scenario 3: Stretch — \$1.5M Revenue + Subscription Model

	Multiple	Valuation (CAD)
Mid-range	4.5x SDE	\$1,890,000
Optimistic (strategic buyer)	5.5x SDE	\$2,310,000
Target Range	4.5-5.5x	\$1.9M — \$2.3M

Assumptions: Revenue hits \$1.5M, recurring subscription revenue established, wholesale channel growing, 2+ years of \$1M+ revenue, owner at 10-12 hrs/week.

What Drives the Multiple

Factor	Impact	Status
Owner works <15 hrs/week	+0.5-1.0x	In progress (target: end 2026)
AI-automated customer service	+0.5x	Building (exchange advisor 95% accurate)
Automated operations (syncs, reports)	+0.25-0.5x	Done (9 daily pipelines)
Revenue > \$1M	+0.5x	Projected 2026
Recurring revenue (subscription)	+0.5-1.0x	Not started
Diversified channels (wholesale)	+0.25x	Early stage
3+ year growth track record	+0.25x	On track (2024-2026)
Niche / small buyer pool	-0.5x	Structural — mitigate with scale

AI Automation — Enterprise Value Impact

- **CS Exchange Advisor** — Deterministic decision tree + AI parser handles sizing, exchanges, donations. 95% action accuracy validated on 198 conversations. Saves 5-8 hrs/week of owner CS time.
- **Financial Analysis** — QBO syncs daily to Supabase. Margin reports, transaction analysis, and expense classification generated on demand. No manual bookkeeping review needed.
- **Daily Operations** — 9 automated pipelines (SEO, email, reviews, products, inventory, orders, customers, conversations, finance) run unattended with consolidated status emails.
- **Product Catalog** — Shopify-to-Supabase sync with fuzzy search, size normalization across two sizing systems, wholesale pricing automation.
- **Knowledge Base** — 63 embedded articles, semantic search across 3,500+ past conversations, FAQ pattern matching. New owner can answer any CS question without tribal knowledge.

Owner Time Breakdown — Current vs Projected

Activity	Current (hrs/wk)	With AI (hrs/wk)	Savings
Customer Service	8-10	2-3	6-7 hrs
Financial Review	3-4	1	2-3 hrs
Order Management	3-4	1-2	2 hrs
Marketing / Content	4-5	3-4	1 hr
Product Dev / Sourcing	3-4	3-4	0
Operations / Admin	2-3	1	1-2 hrs
Total	23-30	12-15	12-15 hrs

Recommendations to Maximize Valuation

- **Complete CS AI advisor (H1 2026)** — Biggest single lever. Each hour removed from owner workload directly increases the multiple. Target: fully autonomous exchange handling.
- **Cross \$1M revenue (2026)** — Psychological threshold for buyers. Pricing strategy already projects \$1.1-1.3M. This alone moves the multiple up 0.5x.
- **Document everything** — SOPs for supplier relationships, seasonal ordering cadence, marketing calendar. A buyer needs to see they can step in with minimal ramp.
- **Explore subscription model** — Even a small subscription cohort (underwear replenishment, seasonal drops) adds recurring revenue which commands premium multiples.
- **Build wholesale channel** — Diversifies revenue beyond DTC. Even 10-15% wholesale revenue reduces single-channel risk premium.
- **Two full years at \$1M+** — If you can show 2026 and 2027 both above \$1M with growing margins, the track record alone justifies 4-5x.
- **Consider timing** — The gender-affirming market is growing. Strategic buyers (larger underwear brands, LGBTQ+ focused companies) may pay a premium for market entry.

Valuation Summary

Scenario	Timeline	Owner Hrs/ Wk	Revenue	SDE	Multiple	Valuation
Today (as-is)	Now	20-25	\$898K	\$308K	2.5-3.0x	\$770K-\$924K
AI Automated	End 2026	12-15	\$1.2M	\$340K	4.0-4.5x	\$1.36M-\$1.53M
Stretch	2027	10-12	\$1.5M	\$420K	4.5-5.5x	\$1.9M-\$2.3M

Key Insight

The AI automation work currently in progress (CS advisor, financial analysis, daily syncs) is not just an operational improvement — it is directly building \$400K-\$600K of enterprise value by transforming a 25hr/week owner-operated business into a 12-15hr/week semi-passive asset. Every hour removed from the owner's week increases the exit multiple.

Methodology & Disclaimers

- Valuations based on SDE (Seller's Discretionary Earnings) multiples, the standard methodology for small businesses with <\$5M revenue.
- Multiples benchmarked against DTC e-commerce brand transactions in the \$500K-\$2M revenue range (sources: Empire Flippers, FE International, Quiet Light).
- Revenue multiple cross-checks applied (1.0-2.5x for DTC brands at this scale).
- All figures in Canadian Dollars (CAD). Financial data sourced from QuickBooks Online via automated Supabase sync.
- This is an internal planning document, not a formal business appraisal. A certified business valuator (CBV) should be engaged for any transaction.
- Projected figures assume continuation of current growth trends, margin stability, and successful completion of AI automation roadmap.